

Customer Retention & Churn Analysis

This project analyzes customer churn and retention patterns for a subscription-based business. The goal is to identify the major reasons behind customer loss and provide actionable business recommendations.

Project Objectives

- Analyze customer churn trends
- Identify high-risk customer groups
- Measure customer lifetime value (CLV)
- Understand retention drivers
- Suggest strategies to reduce churn

Dataset Details

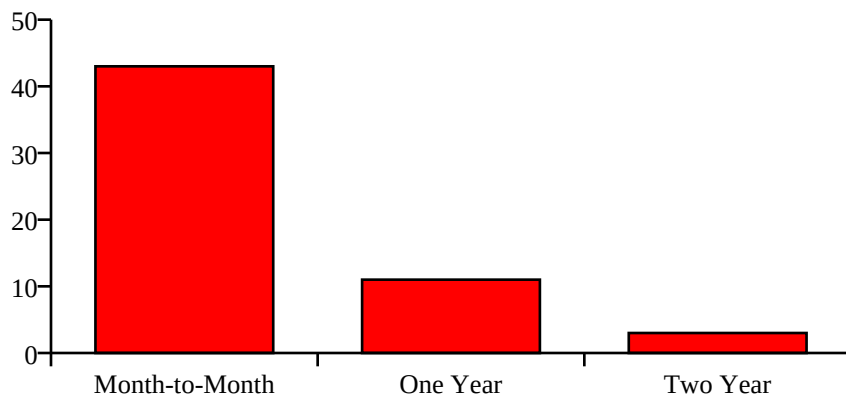
The dataset contains customer subscription information including: Customer ID, Contract Type, Monthly Charges, Tenure, Payment Method, and Churn Status.

Metric	Value
Total Customers	7,043
Churned Customers	1,869
Overall Churn Rate	26.5%
Average Monthly Revenue	\$65
Estimated Customer Lifetime	24 Months
Estimated CLV	\$1,560

Key Insights

- Month-to-month contract customers show the highest churn rate.
- Customers with higher monthly charges are more likely to leave the service.
- Early-stage customers (0–12 months tenure) are at high risk of churn.
- Long-term contracts significantly improve retention rates.
- Electronic check users show higher churn behavior.

Contract Type vs Churn Rate



Business Recommendations

1. Offer discounts for long-term subscriptions.
2. Improve onboarding support for new customers.
3. Introduce loyalty reward programs.
4. Reduce pricing complexity and improve customer support.
5. Use predictive analytics to identify potential churn customers early.

Conclusion

This analysis identified important factors influencing customer churn and retention. The findings can help businesses improve customer engagement, increase loyalty, and maximize long-term revenue.